

know that the down payment could be anywhere between \$9,000 and \$60,000.

- Closing costs, which come out to about 2 to 5 percent of the total loan. In this example, that's anywhere between \$6,000 and \$15,000.
- A cash reserve of at least \$10,000 after all is said and done.

That means the total amount of cash needed to responsibly purchase this property would be anywhere from \$25,000 to \$85,000, depending on the size of the down payment. Ouch.

Though you can get creative with your down payment strategy and err on the side of 3 percent, you'll still need *some* money saved up before you buy a home. There are, unfortunately, no shortcuts here. If you don't have the cash in the bank (or stuffed under your mattress), you should start saving up before you go forward with purchasing a home. You're not doing yourself any favors by starting such an important chapter in your life without the funds to do so.

## CREATE AN APPROPRIATE TIMELINE

It's the first of June, and Tyler is considering buying his first home. His current apartment lease is up at the end of July, so he approaches his real estate agent and declares that he needs to purchase a property no later than that move-out deadline.

His agent is delighted to hear this, as it means he's a motivated buyer with a strict deadline—which means sure business. They view properties back-to-back for a few weeks, and Tyler is able to find a property, make an offer, and go under contract with just enough time to close before his lease is up.

That's a pretty standard transaction, right? Your typical middle-class American is usually delighted by such an outcome. However, Tyler made one crucial mistake: He created a false deadline for himself, effectively rushing into the largest financial decision of his life.

"False deadline?" you ask. "But his lease expired at the end of July! He *had* to buy before then, otherwise..."